Theory X and Theory Y

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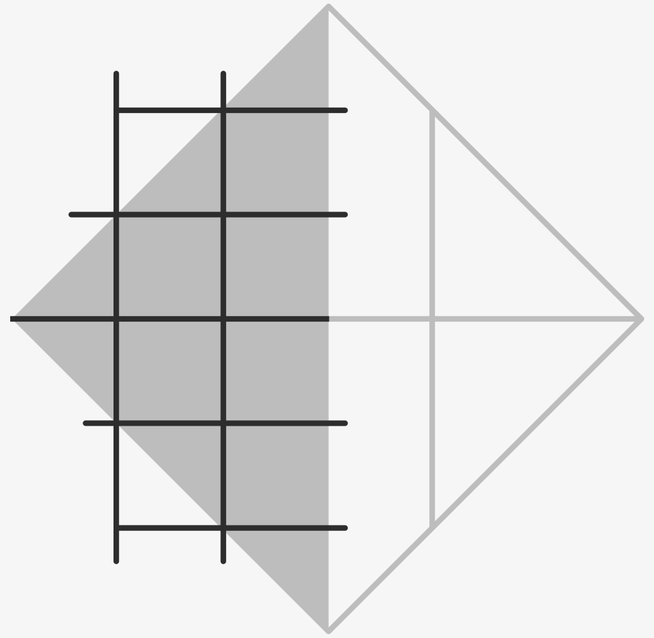
CONCEPT

Theory X

Theory X assumes employees dislike work, are inherently lazy, and must be closely supervised and controlled through external rewards and punishments

Theory Y

Theory Y views employees as self-motivated and responsible, capable of enjoying work, seeking out responsibility, and growing through participation and autonomy



Impact of Theory X and Theory Y in an Organisation

Work Environment –

Theory X leads to strict rules, close supervision, and a controlled environment.

Theory Y encourages trust, freedom, and a more open work culture.

Employee Motivation –

In Theory X, employees work mainly for money and fear of punishment.

In Theory Y, employees are motivated by responsibility, recognition, and growth.

L**eadership Style –**

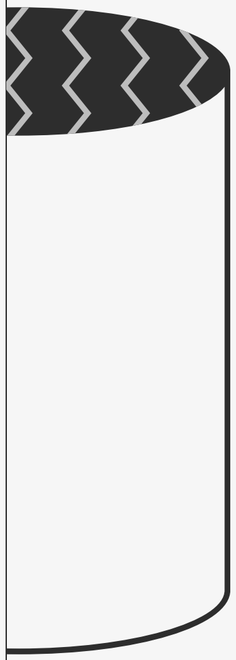
Theory X promotes an authoritarian style of management.

Theory Y supports a participative and democratic style.

Key Diffrences

Features	Theory X	Theory Y
View of employee	Neative/Pessimistic	Positive
Motivation	Extrinsic	Intrinsic
Management style	Authoritarian	Participative
Responsibility	Avoided	Soughted
Assumption	People dislike work	Work is natural

Examples



Google

Google is famous for its open culture where employees get freedom to innovate (e.g., “20% time” policy where staff could spend part of their work hours on personal projects).

Microsoft

Microsoft was often criticized for its strict hierarchy, performance stack ranking, and competitive internal culture. This showed elements of Theory X, where management assumed employees needed close supervision and pressure to perform.

Thank you

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